

HARBOURNE RETAIL GROUP

Capital Project Appraisal — Input Assumptions

	Base Case	Upside Case	Downside Case
CAPITAL EXPENDITURE			
Number of Stores	15	15	15
Capex per Store (£'000)	450	400	500
Total Capex (£'000)	6,750	6,000	7,500
REVENUE			
Revenue per Store (£'000 p.a.)	1,800	2,100	1,600
Year 1 Ramp Factor	75.0%	80.0%	70.0%
Annual Revenue Growth	3.0%	5.0%	1.5%
COST STRUCTURE			
COGS (% of Revenue)	72.0%	70.0%	73.0%
Staff Cost per Store (£'000 p.a.)	180	170	190
Rent per Store (£'000 p.a.)	85	80	90
Utilities & Other per Store (£'000 p.a.)	35	30	40
Staff Cost Annual Growth	2.5%	2.0%	3.0%
Rent Annual Growth	0.0%	0.0%	1.5%
Utilities Annual Growth	3.0%	2.0%	3.5%
TAX & DEPRECIATION			
Depreciation Period (Years)	10	10	10
Corporation Tax Rate	25.0%	25.0%	25.0%
WORKING CAPITAL & DISCOUNT RATE			
Working Capital (% of Revenue)	5.0%	5.0%	5.0%
Discount Rate (WACC)	8.0%	8.0%	8.0%

HARBOURNE RETAIL GROUP

15 Urban Convenience Stores — Base Case

(£'000)	Year 0	Year 1	Year 2	Year 3
REVENUE				
Number of Stores	15	15	15	15
Revenue per Store	0	1,800	1,854	1,910
Ramp Factor	0.0%	75.0%	100.0%	100.0%
Total Revenue	0	20,250	27,810	28,644
COST STRUCTURE				
Cost of Goods Sold	0	14,580	20,023	20,624
Gross Profit	0	5,670	7,787	8,020
Staff Costs	0	2,700	2,768	2,837
Rent	0	1,275	1,275	1,275
Utilities & Other	0	525	541	557
Total Operating Costs	0	4,500	4,583	4,669
PROFITABILITY				
EBITDA	0	1,170	3,204	3,352
Depreciation	0	675	675	675
EBIT	0	495	2,529	2,677
Corporation Tax	0	124	632	669
NOPAT	0	371	1,896	2,008
FREE CASH FLOW				
NOPAT	0	371	1,896	2,008
Add: Depreciation	0	675	675	675
Less: Capital Expenditure	6,750	0	0	0
Less: Δ Working Capital	0	1,013	378	42
Free Cash Flow	-6,750	34	2,193	2,641
Cumulative Cash Flow	-6,750	-6,716	-4,523	-1,882
INVESTMENT METRICS				
Net Present Value (£'000)	10,015			
Internal Rate of Return	28.3%			
Payback Period (years)	3.7			

Year 4	Year 5	Year 6	Year 7	Year 8	Year 9
15	15	15	15	15	15
1,967	2,026	2,087	2,149	2,214	2,280
100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
29,504	30,389	31,300	32,239	33,207	34,203
21,243	21,880	22,536	23,212	23,909	24,626
8,261	8,509	8,764	9,027	9,298	9,577
2,908	2,980	3,055	3,131	3,209	3,290
1,275	1,275	1,275	1,275	1,275	1,275
574	591	609	627	646	665
4,756	4,846	4,938	5,033	5,130	5,230
3,505	3,663	3,826	3,994	4,168	4,347
675	675	675	675	675	675
2,830	2,988	3,151	3,319	3,493	3,672
707	747	788	830	873	918
2,122	2,241	2,363	2,489	2,620	2,754
2,122	2,241	2,363	2,489	2,620	2,754
675	675	675	675	675	675
0	0	0	0	0	0
43	44	46	47	48	50
2,754	2,871	2,992	3,117	3,246	3,379
872	3,744	6,736	9,854	13,100	16,479

Year 10

15

2,349

100.0%

35,229

25,365

9,864

3,372

1,275

685

5,332

4,532

675

3,857

964

2,893

2,893

675

0

51

3,517

19,996

HARBOURNE RETAIL GROUP

15 Urban Convenience Stores — Upside Case

(£'000)	Year 0	Year 1	Year 2	Year 3
REVENUE				
Number of Stores	15	15	15	15
Revenue per Store	0	2,100	2,205	2,315
Ramp Factor	0.0%	80.0%	100.0%	100.0%
Total Revenue	0	25,200	33,075	34,729
COST STRUCTURE				
Cost of Goods Sold	0	17,640	23,153	24,310
Gross Profit	0	7,560	9,923	10,419
Staff Costs	0	2,550	2,601	2,653
Rent	0	1,200	1,200	1,200
Utilities & Other	0	450	459	468
Total Operating Costs	0	4,200	4,260	4,321
PROFITABILITY				
EBITDA	0	3,360	5,663	6,097
Depreciation	0	600	600	600
EBIT	0	2,760	5,063	5,497
Corporation Tax	0	690	1,266	1,374
NOPAT	0	2,070	3,797	4,123
FREE CASH FLOW				
NOPAT	0	2,070	3,797	4,123
Add: Depreciation	0	600	600	600
Less: Capital Expenditure	6,000	0	0	0
Less: Δ Working Capital	0	1,260	394	83
Free Cash Flow	-6,000	1,410	4,003	4,640
Cumulative Cash Flow	-6,000	-4,590	-587	4,054
INVESTMENT METRICS				
Net Present Value (£'000)	27,348			
Internal Rate of Return	57.9%			
Payback Period (years)	2.1			

Year 4	Year 5	Year 6	Year 7	Year 8	Year 9
15	15	15	15	15	15
2,431	2,553	2,680	2,814	2,955	3,103
100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
36,465	38,288	40,203	42,213	44,324	46,540
25,526	26,802	28,142	29,549	31,027	32,578
10,940	11,487	12,061	12,664	13,297	13,962
2,706	2,760	2,815	2,872	2,929	2,988
1,200	1,200	1,200	1,200	1,200	1,200
478	487	497	507	517	527
4,384	4,447	4,512	4,578	4,646	4,715
6,556	7,039	7,549	8,085	8,651	9,247
600	600	600	600	600	600
5,956	6,439	6,949	7,485	8,051	8,647
1,489	1,610	1,737	1,871	2,013	2,162
4,467	4,829	5,211	5,614	6,038	6,485
4,467	4,829	5,211	5,614	6,038	6,485
600	600	600	600	600	600
0	0	0	0	0	0
87	91	96	101	106	111
4,980	5,338	5,716	6,114	6,533	6,974
9,034	14,372	20,088	26,201	32,734	39,708

Year 10

15

3,258

100.0%

48,867

34,207

14,660

3,047

1,200

538

4,785

9,875

600

9,275

2,319

6,956

6,956

600

0

116

7,440

47,148

HARBOURNE RETAIL GROUP

15 Urban Convenience Stores — Downside Case

(£'000)	Year 0	Year 1	Year 2	Year 3
REVENUE				
Number of Stores	15	15	15	15
Revenue per Store	0	1,600	1,624	1,648
Ramp Factor	0.0%	70.0%	100.0%	100.0%
Total Revenue	0	16,800	24,360	24,725
COST STRUCTURE				
Cost of Goods Sold	0	12,264	17,783	18,050
Gross Profit	0	4,536	6,577	6,676
Staff Costs	0	2,850	2,936	3,024
Rent	0	1,350	1,370	1,391
Utilities & Other	0	600	621	643
Total Operating Costs	0	4,800	4,927	5,057
PROFITABILITY				
EBITDA	0	-264	1,650	1,619
Depreciation	0	750	750	750
EBIT	0	-1,014	900	869
Corporation Tax	0	0	225	217
NOPAT	0	-1,014	675	652
FREE CASH FLOW				
NOPAT	0	-1,014	675	652
Add: Depreciation	0	750	750	750
Less: Capital Expenditure	7,500	0	0	0
Less: Δ Working Capital	0	840	378	18
Free Cash Flow	-7,500	-1,104	1,047	1,383
Cumulative Cash Flow	-7,500	-8,604	-7,557	-6,173
INVESTMENT METRICS				
Net Present Value (£'000)	-1,254			
Internal Rate of Return	4.9%			
Payback Period (years)	7.7			

Year 4	Year 5	Year 6	Year 7	Year 8	Year 9
15	15	15	15	15	15
1,673	1,698	1,724	1,750	1,776	1,802
100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
25,096	25,473	25,855	26,243	26,636	27,036
18,320	18,595	18,874	19,157	19,444	19,736
6,776	6,878	6,981	7,086	7,192	7,300
3,114	3,208	3,304	3,403	3,505	3,610
1,412	1,433	1,454	1,476	1,498	1,521
665	689	713	738	763	790
5,191	5,329	5,471	5,617	5,767	5,921
1,585	1,549	1,510	1,469	1,425	1,379
750	750	750	750	750	750
835	799	760	719	675	629
209	200	190	180	169	157
626	599	570	539	506	471
626	599	570	539	506	471
750	750	750	750	750	750
0	0	0	0	0	0
19	19	19	19	20	20
1,358	1,330	1,301	1,270	1,237	1,201
-4,816	-3,486	-2,185	-915	321	1,523

Year 10

15

1,829

100.0%

27,441

20,032

7,409

3,719

1,544

818

6,080

1,329

750

579

145

434

434

750

0

20

1,164

2,687

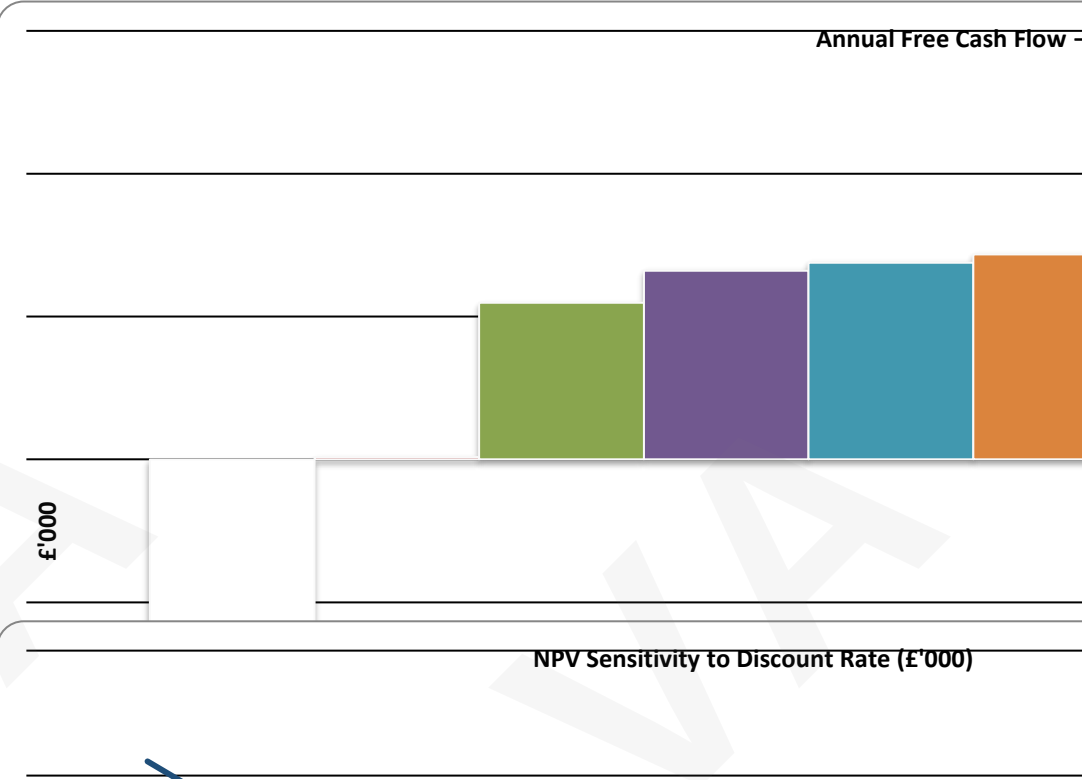
HARBOURNE RETAIL GROUP — DASHBOARD

SCENARIO COMPARISON		
	Base Case	Upside Case
Total Capex (£'000)	6,750	6,000
NPV (£'000)	10,015	27,348
IRR	28.3%	57.9%
Payback (years)	3.7	2.1
10-Year Cumulative FCF (£'000)	19,996	47,148

NPV SENSITIVITY ANALYSIS — BASE CASE		
Discount Rate	NPV (£'000)	
	4%	14,228
	6%	11,962
	8%	10,015
	10%	8,334
	12%	6,876
	14%	5,607

ANNUAL FREE CASH FLOW — BASE CASE		
	Y0	Y1
	-6,750	34

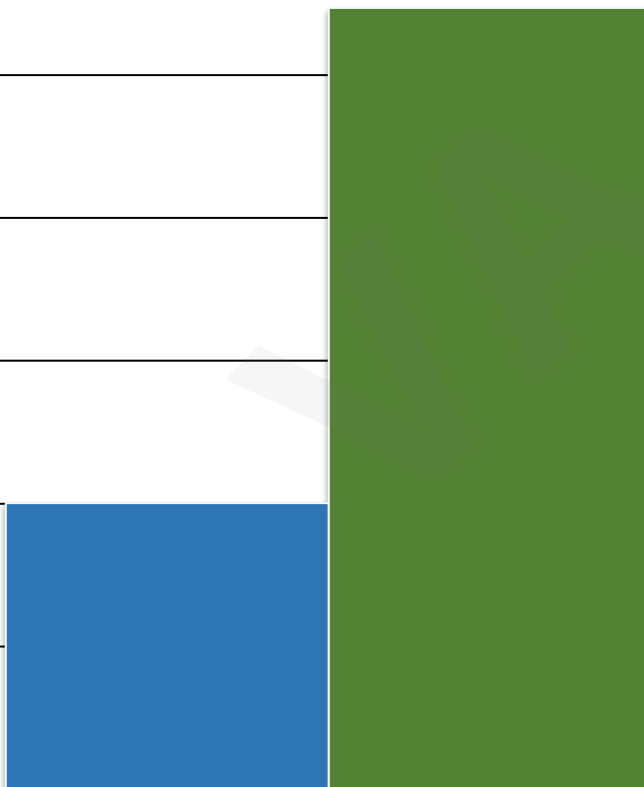
	Base Case	Upside Case
NPV (£'000)	10,015	27,348

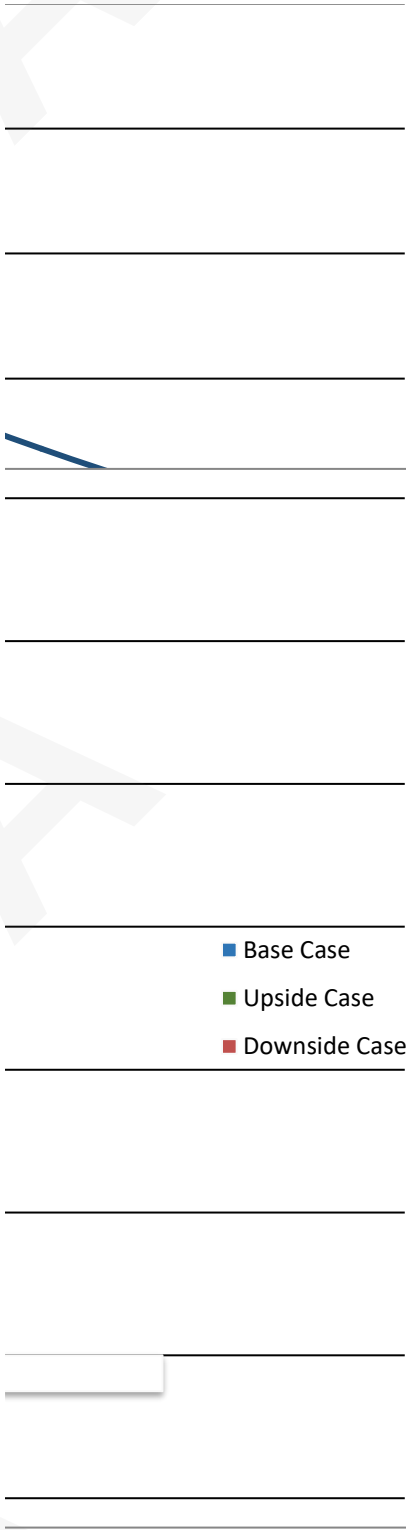


NPV (£'000)

NPV Comparison by Scenario (£'000)

NPV (£'000)





- Base Case
- Upside Case
- Downside Case

Y7	Y8	Y9	Y10
3,117	3,246	3,379	3,517